

15 May 2025

Subject Management's Discussion and Analysis of Financial Performance and Results of Operations For the three-month period ended 31 March 2025

To The President
The Stock Exchange of Thailand

Praram 9 Hospital Public Company Limited (the "Company") would like to report management's discussion and analysis of financial performance and results of operations for three-month period ended 31 March 2025 as follows:

Summary

In the first quarter of 2025, Praram 9 Hospital reported notable performance both in revenue and profit compared to the same period of the previous year. This success was driven by international patient revenue growth, particularly from Middle East and CLMV countries. These patients sought advanced and specialized medical services which the Company was equipped with professional medical team, innovative and advanced medical technology.

In addition, the Company continuously brought and implemented advanced technologies to serve patients' needs and improve better services. The Company also managed operation process effectively, particularly in term of risk and cost control to ensure sustainable growth.

For the first quarter of 2025, the Company reported total revenue of Baht 1,251.2 million, an increase of 15.8 percent YoY compared to Baht 1,080.5 million in the first quarter of 2024, while net profit reached Baht 200.5 million, representing 16.0 percent profit margin, an increase of 26.1 percent YoY compared to Baht 159.0 million or 14.7 percent profit margin in the first quarter of 2024.

Statement of comprehensive income

Revenues (Million Baht)	Three-month period ended 31 March		Change
	2025	2024	%
Medical revenues from Out-Patient (OPD)	665.8	637.4	+4.5
Medical revenues from In-Patient (IPD)	573.2	433.4	+32.3
Total Medical revenues	1,239.0	1,070.8	+15.7
Rental and other income	12.2	9.7	+25.2
Total Revenues	1,251.2	1,080.5	+15.8

Medical revenues can be presented by breakdown as follow :

	Three-month period ended				
(Million Baht)	31 March		Change	Proportion %	
	2025	2024	%	2025	2024
Breakdown by Nationality					
Thai	935.1	909.2	+2.9	75%	85%
International	303.9	161.6	+88.1	25%	15%
Total Medical Revenues	1,239.0	1,070.8	+15.7	100%	100%
Breakdown by Payment method					
Self-Pay	771.9	726.3	+6.3	62%	68%
Insurance	324.9	293.4	+10.7	26%	27%
Corporate Contract	142.2	51.1	+178.6	12%	5%
Total Medical Revenues	1,239.0	1,070.8	+15.7	100%	100%

In the first quarter of 2025, the Company recorded hospital revenues of Baht 1,239.0 million, an increase of 15.7 percent YOY compared to Baht 1,070.8 million in the first quarter of 2024. This growth was driven by higher volume of both out-patient (OPD) and in-patient (IPD) customers compared to the same period of the previous year.

Revenue from out-patient services (OPD) increased by 4.5 percent compared to the same period of the previous year. This increase was attributable to both the higher number of OPD visits and an increase in OPD revenue per visit.

Meanwhile, revenue from in-patient services (IPD) increased by 32.3 percent compared to the same period of the previous year. The increase was driven by both higher total patient day and IPD revenue per patient day.

Revenue from Thai patients increased by 2.9 percent compared to the same period of the previous year, while revenue from international patients increased by 88.1 percent. As a result, the proportion of hospital revenues from Thai customers was 75 percent, while international customers accounted for 25 percent. The majority of international revenue were generated from Arabic, CLMV and Chinese patients, respectively.

If revenue was categorized by payment method, revenue from self-pay patients increased by 6.3 percent compared to the same period of the previous year while revenue from insurance patients increased by 10.7 percent, driven by the rising trend of health insurance application among Thai people and ongoing marketing activities with insurance partners. Revenue from corporate contract patients increased by 178.6 percent, primarily from international patients covered by embassy guarantees of payment (GOP). As a result, the proportion of self-pay patients was 62 percent while insurance patients was 26 percent, and corporate contract patients was 12 percent, respectively.

Cost of Hospital Operations and Expenses (Million Baht)	Three-month period ended 31 March		Change %
	2025	2024	
Cost of hospital operations	784.7	714.5	+9.8
As % of medical revenues	63.3	66.7	
Selling and administrative expenses	227.5	181.7	+25.2
As % of total revenues	18.2	16.8	

For the first quarter of 2025, the Company reported the cost of hospital operations (including depreciation and amortization) of Baht 784.7 million, representing 63.3 percent of total medical revenues compared to the first quarter of 2024, which the cost of hospital operations (including depreciation and amortization) was reported of Baht 714.5 million, accounting for 66.7 percent of total medical revenues. The reduction in cost proportion was mainly driven by a decrease in variable costs, medical fees, and depreciation as a result of achieving economy of scale and cost improvement, leading to a reduction in the cost-to-revenue ratio compared to the same period of the previous year.

For the first quarter of 2025, the Company reported selling and administrative expenses (including depreciation and amortization) of Baht 227.5 million, representing 18.2 percent of total revenues. In comparison, the first quarter of 2024 recorded selling and administrative expenses (including depreciation and amortization) of Baht 181.7 million, accounting for 16.8 percent of total revenues. The increase in expenses was mainly attributable to expenditure of marketing, advertising, and public relations activities to enhance brand visibility and expand the customer base, aligning with the Company's strategic plan which aimed to grow in international markets, especially in patients who need high quality of care. In addition, the Company also invested in human resources and information system development to support long-term business strategy.

Finance Cost, Income Tax Expense and Profit (Million Baht)	Three-month period ended 31 March		Change
	2025	2024	%
Operating profit	239.1	184.3	+29.7
Depreciation and amortization	75.9	74.7	+1.7
EBITDA	315.0	259.0	+21.6
<i>EBITDA Margin (%)</i>	<i>25.2</i>	<i>24.0</i>	
Finance income	13.7	12.6	+8.6
Finance cost	(0.1)	(0.2)	-47.1
Income tax expenses	(52.2)	(37.7)	+38.3
Profit for the period	200.5	159.0	+26.1
<i>Net profit margin (%)</i>	<i>16.0</i>	<i>14.7</i>	
Total comprehensive income for the year	200.5	159.0	
Weighted average number of ordinary shares (Share)	786,300,000	786,300,000	
Basic earnings per share (Baht)	0.25	0.20	

For the first quarter of 2025, the Company reported earnings before interest, tax, depreciation and amortization (EBITDA) of Baht 315.0 million, representing 25.2% EBITDA margin, an increase by 21.6% compared to the first quarter of 2024 which the Company reported earnings before interest, tax, depreciation and amortization (EBITDA) of Baht 259.0 million or 24.0% EBITDA margin.

For the first quarter of 2025, the Company reported depreciation and amortization of Baht 75.9 million while the Company reported of Baht 74.7 million in the first quarter of 2024. The increase in depreciation and amortization was a result of an investment in fixed assets especially in area renovation to improve customer experience and enhance brand image.

For the first quarter of 2025, the Company reported finance cost of Baht 0.1 million compared to the first quarter of 2024 which reported finance cost of Baht 0.2 million. The Company reported income tax expenses for the first quarter of 2025 of Baht 52.2 million while reported income tax expenses of Baht 37.7 million in the first quarter of 2024.

For the first quarter of 2025, the Company reported net profit of Baht 200.5 million, representing 16.0% net profit margin. While the Company reported net profit of Baht 159.0 million for the first quarter of 2024, representing 14.7% net profit margin. Basic earnings per share of 0.25 baht in the first quarter of 2025 and 0.20 baht in the first quarter of 2024, respectively.

Statement of Financial Position

(Million Baht)	As of 31 Mar 2025	As of 31 Dec 2024	Change %
Current assets	2,991.1	2,657.5	+12.6%
Non-current assets	3,620.2	3,741.6	-3.2%
Total assets	6,611.3	6,399.1	+3.3%
Current liabilities	761.3	757.8	+0.5%
Non-current liabilities	211.0	202.8	+4.0%
Total liabilities	972.3	960.6	+1.2%
Total shareholders' equity	5,639.0	5,438.5	+3.7%
Total liabilities and shareholders' equity	6,611.3	6,399.1	+3.3%

1. Assets

As of 31 March 2025, the Company reported current assets of Baht 2,991.1 million, increase by 12.6% compared to Baht 2,657.7 million as of 31 December 2024. The majority of current assets consisted of cash and cash equivalents totaling Baht 411.0 million, Other current assets totaling Baht 2,176.4 million. The surplus cash flow of the Company was allocated to various financial assets to gain higher returns than short-term deposits with commercial banks.

As of 31 March 2025, the Company reported non-current assets of Baht 3,620.2 million, decrease by 3.2% compared to Baht 3,741.6 million as of 31 December 2024.

2. Liabilities

As of 31 March 2025, the Company reported current liabilities of Baht 761.3 million, increased by 0.5% compared to the end of 31 December 2024. The increase was driven by higher accrued income tax.

As of 31 March 2025, the Company reported non-current liabilities of Baht 211.0 million, increased by 4.0% compared to Baht 202.8 million which were reported as of 31 December 2024.

3. Shareholders' equity

As of 31 March 2025, the Company reported shareholders' equity of Baht 5,639.0 million, increased by 3.7% compared to Baht 5,438.5 million as of 31 December 2024. This was due to an increase in total comprehensive income for the first quarter of 2025 presenting Baht 200.5 million.

Cash flow statement

(Million Baht)	Three-month period ended 31 March	
	2025	2024
Cash flows from operating activities	302.8	265.9
Cash flows used in investing activities	(284.3)	(1,001.7)
Cash flows used in financing activities	(2.3)	(1.7)
Net increase (decrease) in cash and cash equivalents	16.2	(737.5)

For the three-month period ended 31 March 2025, the Company reported cash flows from operating activities of Baht 302.8 million, an increase of Baht 36.9 million from the same period of 2024. The main reason of this increment resulted from the increment in operating profit.

For the three-month period ended 31 March 2025, the Company reported cash flows used in investing activities of Baht 284.3 million. The cash flow consisted of utilizing the remaining cash to invest in fixed deposits and debt securities, as well as interest income generated during the period amounting to Baht 172.0 million. Additionally, there were capital expenditures during the period amounting to Baht 112.3 million. Net cash used in investing activities decreased compared to the same period in 2024, which recorded net cash used in investing activities of Baht 1,001.7 million.

For the three-month period ended 31 March 2025, the Company reported cash flows used in financing activities of Baht 2.3 million which was mainly from the payment of liabilities under lease agreement.

Key Financial Ratio

		Three-month period ended 31 March	
		2025	2024
Liquidity Ratio			
Current ratio	(Time)	3.9	4.1
Average collection period	(Day)	23.0	22.8
Average days sales of inventory	(Day)	6.1	5.9
Average account payables days	(Day)	23.9	19.3
Cash cycle	(Cycle)	5.2	9.3
Profitability Ratio			
Gross profit margin	(%)	35.1	33.3
Net profit margin	(%)	16.0	14.7
Return on average shareholders' equity *	(%)	13.9	12.1
Return on average assets*	(%)	11.9	10.5
Financial Policy Ratio			
Debt to equity ratio	(Time)	0.2	0.1
Interest bearing debt to equity ratio	(Time)	0.0	0.0

Remark * Figure were calculated by adjustment to fully annualized numbers by using the numbers in the current quarter plus the previous 3 quarter financial information.

Please be informed accordingly,

Yours sincerely,

Praram 9 Hospital Public Company Limited

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Satian Pooprasert, M.D.

Chief Executive Officer